

LG Electronics (066570 KP)

Buy: 3Q preview – breaking seasonality

Equities
Electronic Equipment & Instruments

Korea

- ◆ We see a solid 3Q outlook, led by strong VS margins along with counter-seasonal demand at HS and MS
- ◆ HVAC momentum growing as data centre contribution should start from 4Q26e and accelerate during 2027e
- ◆ Maintain Buy with an unchanged target price of KRW280k

3Q seasonality to be mitigated: We expect LGE's 3Q26e OP to be in line with our bullish estimate of KRW1.2trn (+67% y-o-y), 23% above consensus, with sales of KRW25trn (+14% y-o-y), despite the KRW's appreciation of 6% q-o-q. Strong growth will likely come from: (1) HS sales increasing 9% y-o-y, supported by volume-zone and premium appliance demand, a lower memory price impact on BOM costs and strong Global South demand; (2) VS sales rising 22% y-o-y on an order backlog exceeding KRW100trn, with premium infotainment representing 80% of the backlog and OPM reaching 8%; (3) MS sales growing 15% y-o-y, as competitive volume-zone products support market share gains; and (4) ES sales increasing 6% y-o-y.

HVAC momentum to begins from 4Q: LGE's data centre HVAC backlog was KRW600bn as at 2Q26, and we expect over KRW1-2trn of additional air-cooling orders in 2H26e, as the company guided to several trillions of orders to be received in 2026 during the previous earnings call; sales will likely start to contribute from 4Q26e and will accelerate from 1H27e. We assume 31% y-o-y sales growth in 2027e for the ES division, with margins set to improve to 11% (from 6% in 2026e). This will likely lead to 2027e OP of KRW7trn (+42% y-o-y) on sales of KRW110trn (+12% y-o-y). Twin B2B engines, ES and VS, remain the largest profit pillar with an OP contribution rising to 40% and 45% in 2027-28e, respectively (from 31% in 2026e).

Liquid cooling and robotics – the next learning curves: Local media (JoongAng, 22 September) reported that LGE has qualified 2.5MW of liquid cooling equipment with NVIDIA following the previous qualification of 600kW- and 1 MW-grade equipment. LGE is now seeking approval for 4MW-grade equipment for major AI chipmakers. With liquid cooling's share of AI chips expected to rise to 61% by 2028e from 33% in 2025 (TrendForce), we believe these approvals underpin orders through 2H26-2028e. In robotics, AXIUM has nine product categories ready for customers; actuator shipments have begun for in-house CLOi serving robots, external n is planned for 2027e, and mass production of the humanoid CLOiD is targeted for 2030e.

Maintain Buy and target price of KRW280k: LGE is shifting from a white goods-centric manufacturer to a B2B portfolio spanning vehicles, AI data centres and robotics. VS has already matured into a stable cash generator; we expect data centre cooling and robotics to follow a similar trajectory. Reflecting estimate changes for LG Innotek (011070 KP, KRW542,000, Buy) and slightly lower MS estimates, we trim 2026e OP by 1%; however, thanks to stronger earnings at ES from data centre HVAC growth, we raise 2027-28e OP by 2% and 5%, and apply an unchanged target PB multiple of 1.5x (historical peak average during 2010-25 when ROE was 10%-plus), consistent with LGE's improving ROE, to our updated 2027-28e average BVPS to derive our unchanged TP of KRW280k; maintain Buy.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.



MAINTAIN BUY

TARGET PRICE (KRW)

280,000

PREVIOUS TARGET (KRW)

280,000

SHARE PRICE (KRW)

216,500

(as of 22 Sep 2026)

UPSIDE/DOWNSIDE

+29.3%

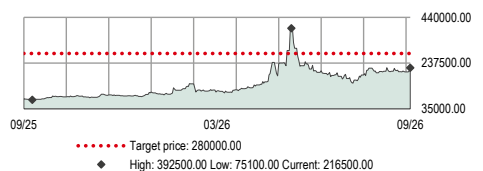
MARKET DATA

Market cap (KRWbn)	35,265	Free float	54%
Market cap (USDm)	26,042	BBG	066570 KP
3m ADTV (USDm)	161	RIC	066570.KS

FINANCIALS AND RATIOS (KRW)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	5,334.60	14,307.43	20,970.40	27,396.52
HSBC EPS (prev)	5,334.60	14,893.26	21,174.58	27,059.62
Change (%)	0.0	-3.9	-1.0	1.2
Consensus EPS	8,732.13	12,763.99	15,249.57	18,670.69
PE (x)	40.6	15.1	10.3	7.9
Dividend yield (%)	0.6	1.7	2.4	3.1
EV/EBITDA (x)	6.0	3.8	2.7	1.9
ROE (%)	4.3	10.1	13.1	14.9

52-WEEK PRICE (KRW)



Source: LSEG IBES, HSBC estimates

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Less bull, more bite

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Financials & valuation: LG Electronics

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWbn)				
Revenue	89,201	98,484	110,298	124,815
EBITDA	6,080	8,596	10,568	12,491
Depreciation & amortisation	-3,602	-3,679	-3,565	-3,479
Operating profit/EBIT	2,478	4,917	7,003	9,011
Net interest	-191	-69	56	183
PBT	1,836	4,757	6,972	9,108
HSBC PBT	1,836	4,757	6,972	9,108
Taxation	-608	-1,576	-2,310	-3,018
Net profit	961	2,576	3,776	4,933
HSBC net profit	961	2,576	3,776	4,933
Cash flow summary (KRWbn)				
Cash flow from operations	4,058	8,582	9,909	10,802
Capex	-2,615	-2,746	-2,883	-3,028
Cash flow from investment	-3,014	-4,135	-4,370	-4,618
Dividends	-243	-648	-936	-1,224
Change in net debt	-2,475	-3,182	-3,994	-4,477
FCF equity	131	4,970	6,160	6,908
Balance sheet summary (KRWbn)				
Intangible fixed assets	4,370	4,370	4,370	4,370
Tangible fixed assets	25,339	25,272	25,456	25,869
Current assets	34,870	40,902	48,486	57,344
Cash & others	8,770	12,086	16,213	20,824
Total assets	68,620	74,787	82,767	92,261
Operating liabilities	25,966	28,967	33,089	37,584
Gross debt	14,024	14,158	14,291	14,425
Net debt	5,254	2,072	-1,922	-6,399
Shareholders' funds	23,887	26,919	30,643	35,509
Invested capital	29,844	29,491	29,010	29,176

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
y-o-y % change				
Revenue	1.7	10.4	12.0	13.2
EBITDA	-12.6	41.4	22.9	18.2
Operating profit	-27.5	98.4	42.4	28.7
PBT	37.5	159.0	46.6	30.6
HSBC EPS	161.4	168.2	46.6	30.6
Ratios (%)				
Revenue/IC (x)	3.0	3.3	3.8	4.3
ROIC	6.9	13.3	18.2	22.9
ROE	4.3	10.1	13.1	14.9
ROA	1.4	3.6	4.8	5.6
EBITDA margin	6.8	8.7	9.6	10.0
Operating profit margin	2.8	5.0	6.3	7.2
EBITDA/net interest (x)	31.9	125.2	-	-
Net debt/equity	18.4	6.6	-5.4	-15.9
Net debt/EBITDA (x)	0.9	0.2	-0.2	-0.5
CF from operations/net debt	77.2	414.2	-	-
Per share data (KRW)				
EPS Rep (diluted)	5,334.60	14,307.43	20,970.40	27,396.52
HSBC EPS (diluted)	5,334.60	14,307.43	20,970.40	27,396.52
DPS	1,350.00	3,600.00	5,200.00	6,800.00
Book value	132,659.14	149,494.63	170,179.24	197,197.34

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.4	0.3	0.3	0.2
EV/EBITDA	6.0	3.8	2.7	1.9
EV/IC	1.2	1.1	1.0	0.8
PE*	40.6	15.1	10.3	7.9
PB	1.6	1.4	1.3	1.1
FCF yield (%)	0.4	14.1	17.5	19.6
Dividend yield (%)	0.6	1.7	2.4	3.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2026e
GHG emission intensity*	13.4	No. of board members	7
Energy intensity*	29.7	Average board tenure (years)	NA
CO ₂ reduction policy	Yes	Female board members (%)	14.3
Social Indicators		Board members independence (%)	57.1
Employee costs as % of revenues	12.7		
Employee turnover (%)	17.9		
Diversity policy	Yes		

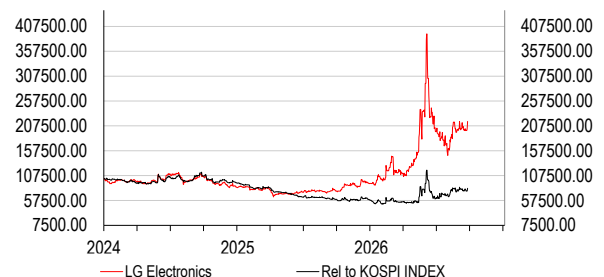
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	216,500.00	Free float	54%
Target price (KRW)	280,000.00	Sector	Electronic Equipment
RIC (Equity)	066570.KS	Country/Region	Korea
Bloomberg (Equity)	066570 KP	Analyst	Ricky Seo
Market cap (USDm)	26,042	Contact	+82 2 3706 8777

Price relative



Source: HSBC

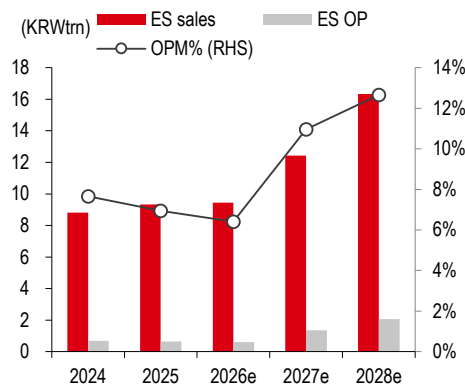
Note: Priced at close of 22 Sep 2026

Exhibit 1. Estimate changes and comparison with consensus

(KRWbn)	New			Old			Change			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	98,484	110,298	124,815	98,987	110,580	124,317	-1%	0%	0%	93,835	97,692	103,490	5%	13%	21%
OP	4,917	7,003	9,011	4,991	6,899	8,554	-1%	2%	5%	4,393	4,878	5,939	12%	44%	52%
OP margin	5%	6%	7%	5%	6%	7%	0%pt	0%pt	0%pt	5%	5%	6%	0%pt	1%pt	1%pt

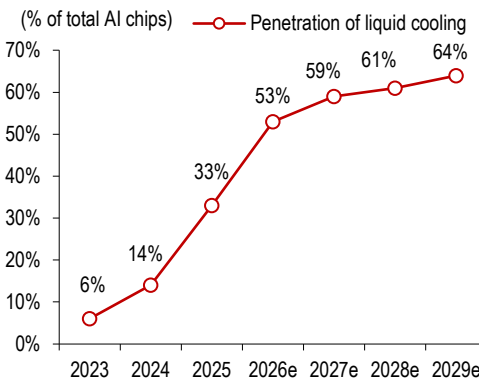
Source: Bloomberg consensus forecasts, HSBC estimates

Exhibit 2. ES division sales and profit trend: sharp rise from 2027e thanks to data centre HVAC



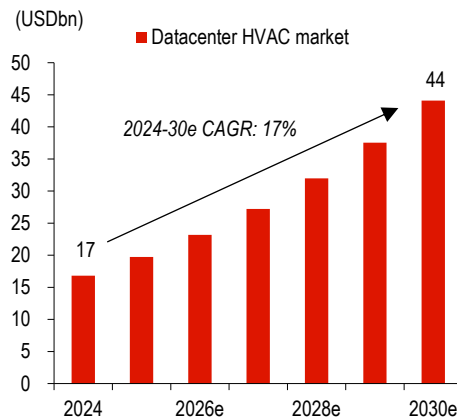
Source: Company data, HSBC estimates

Exhibit 3. Penetration of liquid cooling is rising from 33% in 2025 to 61% in 2028e, opening new opportunities for LGE



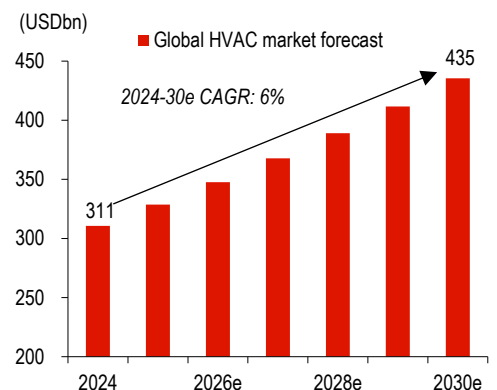
Source: TrendForce

Exhibit 4. The data centre HVAC market is expected to show a CAGR of 17%



Source: Company data (estimates)

Exhibit 5. ...while the global HVAC market is larger in size, it is estimated to show a 6% CAGR during 2024-30e to USD435bn



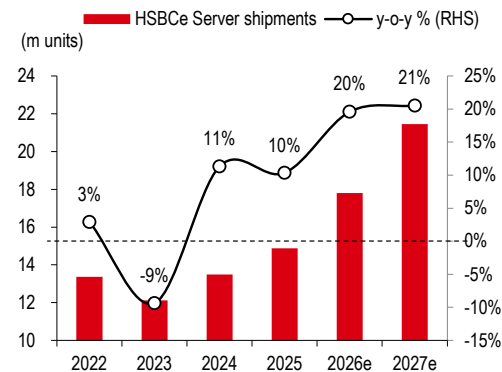
Source: Industry news (November 2025), Grand Market Insights

Exhibit 6. Different types of HVAC systems

Category	Type	Use case	Average price level
Residential	Central air conditioning	Whole-home cooling	High
	Ductless mini-split systems	Zoned heating/cooling for individual rooms	Medium
	Packaged systems	Small homes or homes without basements or crawl spaces	Medium
	Unitary air conditioners	Self-contained units for single-zone cooling	Medium
	Window units	Single-room cooling	Low
Commercial	Portable air conditioners	Temporary or supplemental single-room cooling	Low
	Rooftop units (RTU)	Large buildings, often mounted on rooftops	High
	Split systems	Commercial buildings with multiple zones	High
	Variable refrigerant flow (VRF)	Large buildings, often needed with precise temperature control	High
	Chillers	Large buildings, factories, hospitals, data centres	High
	Unitary air conditioners	Single-zone or small commercial spaces	Medium
	Packaged terminal air conditioners (PTACs)	Hotels, motels, nursing homes	Medium

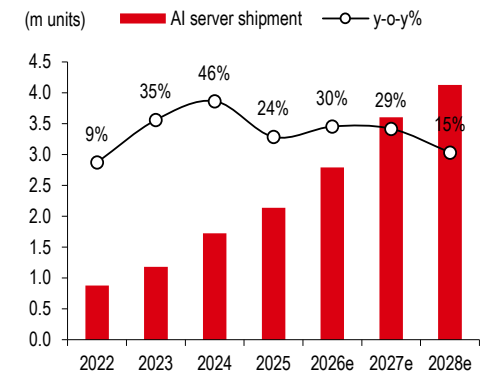
Source: Company data, HSBC

Exhibit 7. We expect global server shipments to rise 20%/21% in 2026-27e...



Source: IDC, HSBC estimates

Exhibit 8. ...while AI server shipments should grow faster at 30%/29% in 2026-27e



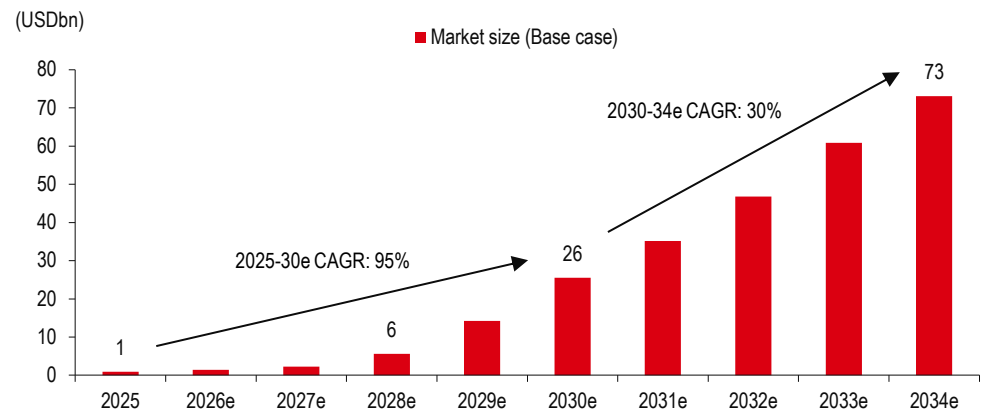
Source: TrendForce, HSBC estimates

Exhibit 9. Details of LGE's humanoid robot – CLOiD

Details	Summary
Product	LG CLOiD – AI-powered humanoid robot with dual arms, five finger dexterous hands, wheeled base
Launch Timeline	Unveiled at CES 2026, no consumer release date yet. Still in demo phase, LG established HS robotics lab to support
Target Use	Household chore automation under "Zero labour home" vision – kitchen prep, laundry folding, appliance coordination, senior wellness support. Fully integrated into LG ThinQ ecosystem
Difference versus previous version	Verus prior CLOi: First consumer humanoid with manipulation (CLOi = B2B service bots, no arms)

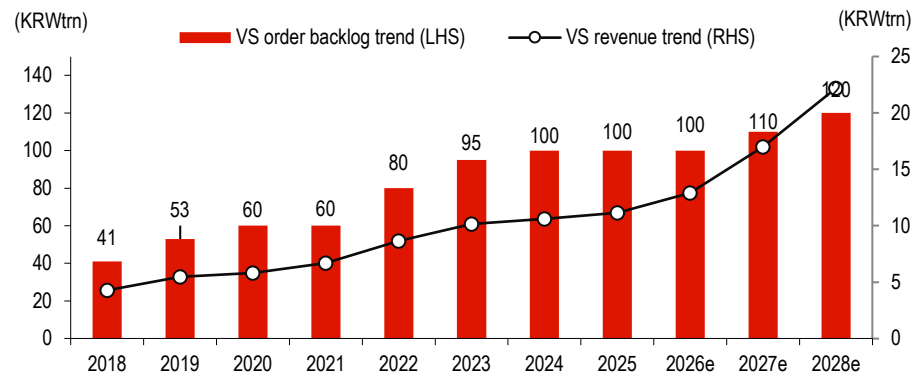
Source: Company data

Exhibit 10. HSBC's estimates on the global humanoid robotics market



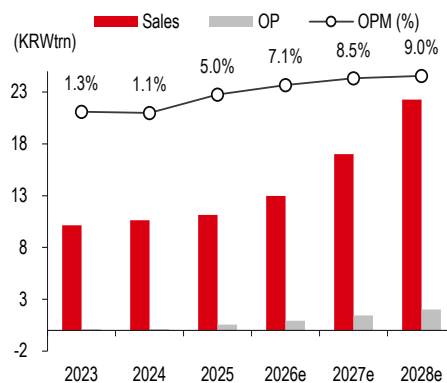
Source: Company data, HSBC estimates (see [Embodied Intelligence – UniTree and UBTEch: Two different paths for humanoid robots](#), Helen Fang, 14 April 2026)

Exhibit 11. We remain positive on growth of VS with the order backlog reaching KRW120trn, leading to accelerated sales of KRW22trn by end-2028e



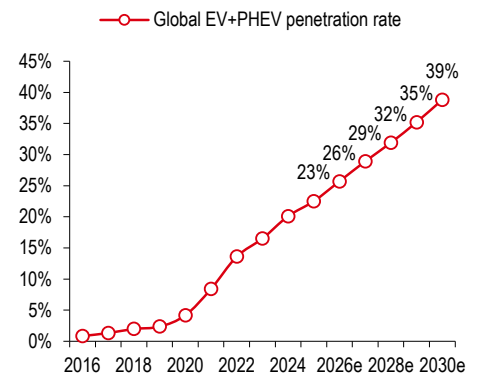
Source: Company data, HSBC estimates

Exhibit 12. VS forecast to show sales growth of a 26% CAGR during 2025-28e



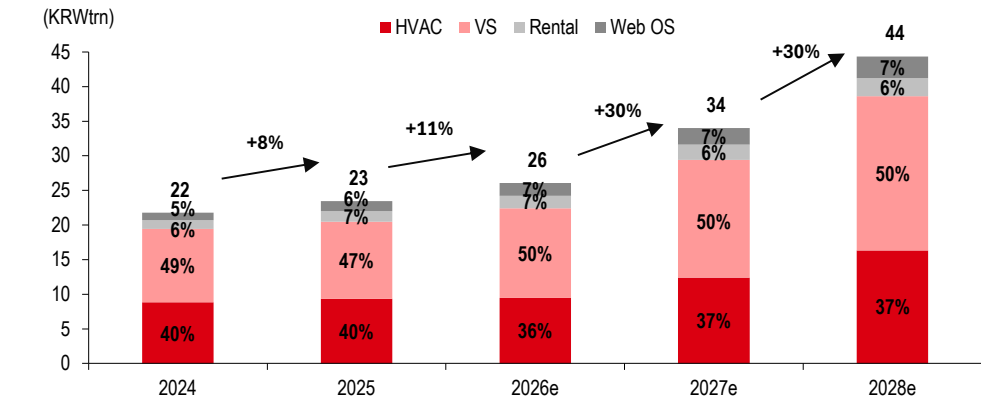
Source: Company data, HSBC estimates

Exhibit 13. xEV penetration rate from HSBC's global auto team: 39% by 2030e



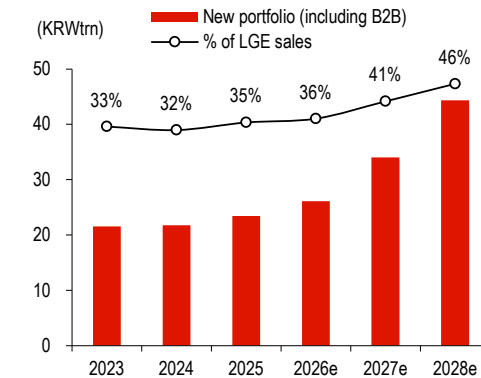
Source: EV-Volumes, HSBC estimates (see [EV Global Roadmap](#), 7 September 2026)

Exhibit 14. New portfolio sales, and percentage breakdown (including B2B) by division



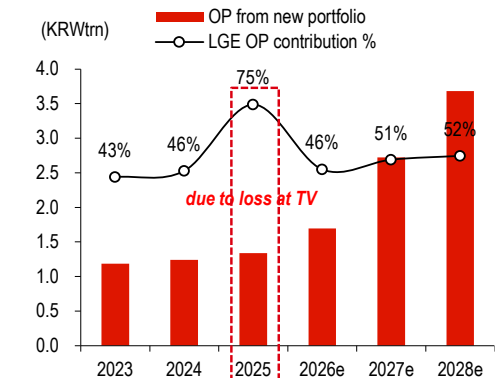
Source: Company data, HSBC estimates

Exhibit 15. New portfolio of LGE to grow fast, reaching 46% of LGE's sales by 2028e



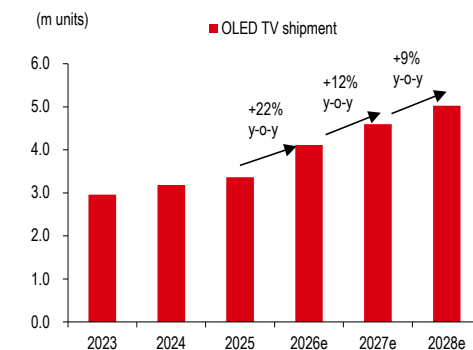
Source: Company data, HSBC estimates. Note: LGE's sales exclude LGI.

Exhibit 16. New portfolio OP contribution rising fast due to higher margins



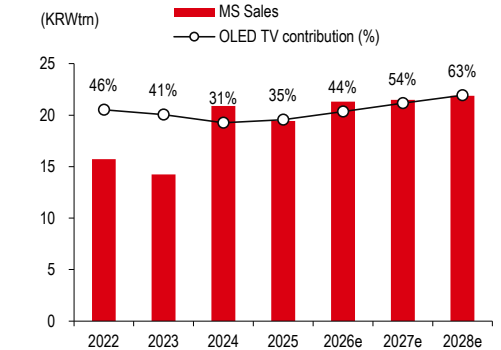
Source: Company data, HSBC estimates. Note: LGE's OP excludes LGI.

Exhibit 17. We assume OLED TV shipments to reach 5.0m units by 2028e



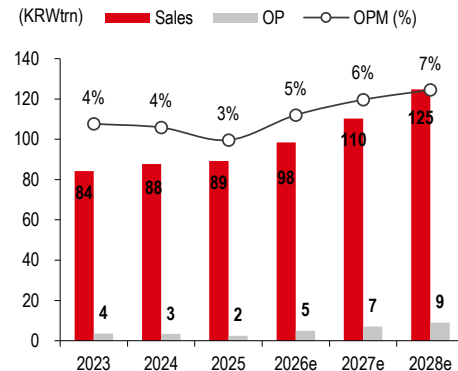
Source: Company data, OMDIA, HSBC estimates

Exhibit 18. MS sales should reach KRW22trn in 2028e with an OLED TV contribution of 63%



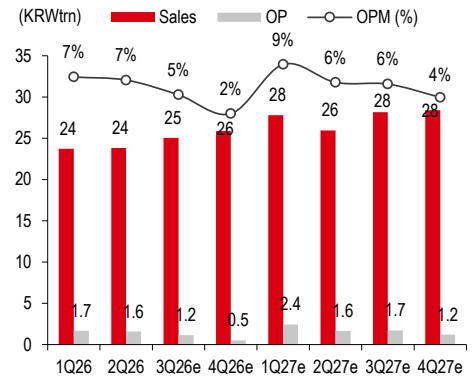
Source: Company data, HSBC estimates

Exhibit 19. Annual earnings trend



Source: Company data, HSBC estimates

Exhibit 20. Quarterly earnings trend



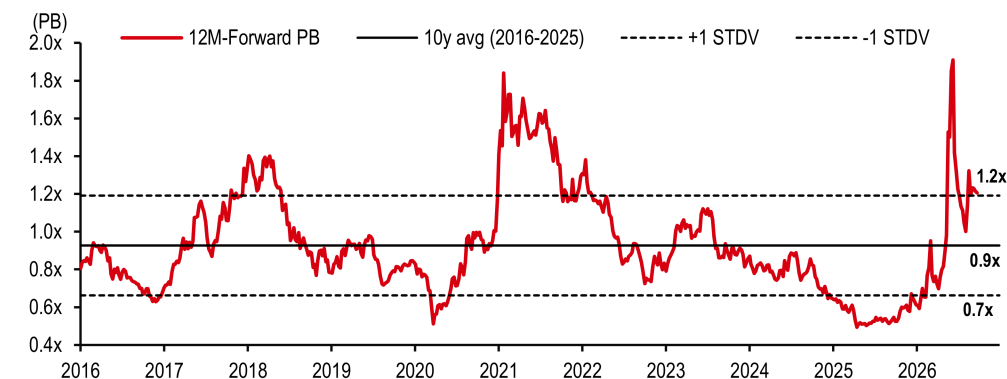
Source: Company data, HSBC estimates

Exhibit 21. Quarterly estimates

(KRWbn)	1Q26	2Q26	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025	2026e	2027e	2028e
Revenue	23,727	23,827	25,043	25,888	27,802	25,963	28,151	28,383	89,201	98,484	110,298	124,815
LGE (alone)	18,303	18,390	18,490	17,932	21,390	20,728	20,903	20,587	67,846	73,114	83,608	96,946
MS	5,169	5,115	5,344	5,687	4,758	4,953	5,444	6,324	19,426	21,316	21,479	21,875
HS	6,943	7,058	7,173	6,567	8,401	7,834	7,818	6,961	26,126	27,740	31,014	34,762
VS	3,064	3,026	3,229	3,663	4,014	3,964	4,230	4,799	11,136	12,983	17,007	22,279
ES	2,822	2,726	2,297	1,603	3,810	3,544	2,986	2,084	9,323	9,449	12,424	16,342
Others	304	465	446	412	407	433	424	419	1,835	1,627	1,683	1,688
LG Innotek	5,535	5,527	6,667	8,066	6,518	5,340	7,357	7,904	21,897	25,795	27,119	28,299
OP	1,674	1,579	1,150	514	2,448	1,638	1,712	1,206	2,478	4,917	7,003	9,011
LGE (alone)	1,376	1,327	836	110	2,057	1,345	1,292	673	1,793	3,649	5,367	7,035
MS	372	219	5	-57	190	50	218	63	-751	540	521	528
HS	570	686	430	-66	1,008	548	391	70	1,279	1,620	2,017	2,415
VS	212	191	258	256	321	317	381	432	559	918	1,451	2,005
ES	249	236	138	-16	533	425	299	104	647	606	1,362	2,069
Others	-26	0	4	-8	4	4	4	4	58	-30	17	17
LG Innotek	295	246	309	395	370	287	406	524	665	1,246	1,586	1,917
OP margin	7%	7%	5%	2%	9%	6%	6%	4%	3%	5%	6%	7%
LGE (alone)	8%	7%	5%	1%	10%	6%	6%	3%	3%	5%	6%	7%
MS	7%	4%	0%	-1%	4%	1%	4%	1%	-4%	3%	2%	2%
HS	8%	10%	6%	-1%	12%	7%	5%	1%	5%	6%	7%	7%
VS	7%	6%	8%	7%	8%	8%	9%	9%	5%	7%	9%	9%
ES	9%	9%	6%	-1%	14%	12%	10%	5%	7%	6%	11%	13%
Others	-9%	0%	1%	-2%	1%	1%	1%	1%	3%	-2%	1%	1%
LG Innotek	5%	4%	5%	5%	6%	5%	6%	7%	3%	5%	6%	7%

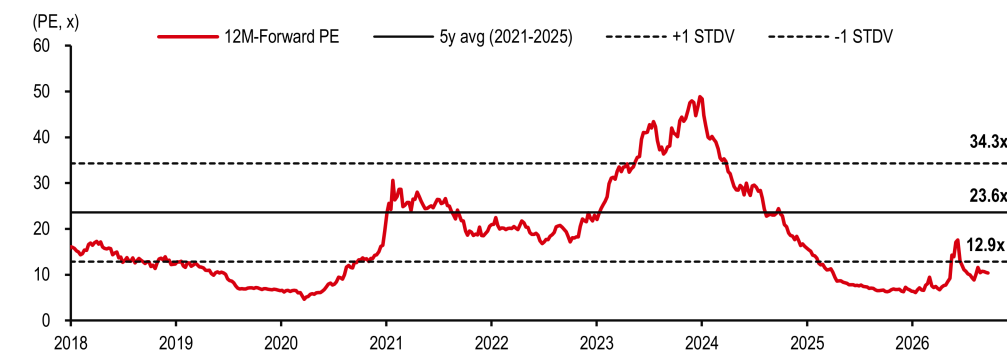
Source: Company data, HSBC estimates. Note: MS – Media solutions, HS – Home appliance solutions, VS – Vehicle solutions, ES – Eco solutions.

Exhibit 22. 12-month forward PB (x) trend



Source: Bloomberg, HSBC estimates

Exhibit 23. 12-month forward PE (x) trend



Source: Bloomberg, HSBC estimates

Valuation and risks

Valuation		Risks to our view
LG Electronics 066570 KP	Current price: KRW216,500	Maintain Buy with an unchanged target price of KRW280k. Reflecting our estimate changes for LG Innotek (011070 KP, KRW542,000, Buy) and slightly lower MS estimates, we trim our 2026e OP estimate by 1%; however, thanks to stronger earnings at ES from data centre HVAC growth, we raise our 2027-28e OP estimates by 2% and 5%, respectively. We continue to apply a target PB multiple of 1.5x, which is the historical peak average during 2010-25 when ROE was 10%-plus, consistent with LGE's improving ROE. We apply our PB multiple to our updated 2027-28e average BVPS estimate of KRW183,688 (from KRW184,256) to derive our unchanged target price of KRW280k, implying c29% upside from the current share price; we maintain our Buy rating on the stock.
	Target price: KRW280,000	
	Upside: 29.3%	
Buy		Downside risks ◆ Aggressive pricing and promotion on TVs by competitors ◆ Spikes in raw material prices, which could weigh on H&A margins ◆ Weaker earnings at LGD, which could erode LGE's equity method gains

Priced at 22 September 2026.
Source: Bloomberg, HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Ricky Seo and Han Kil Chang

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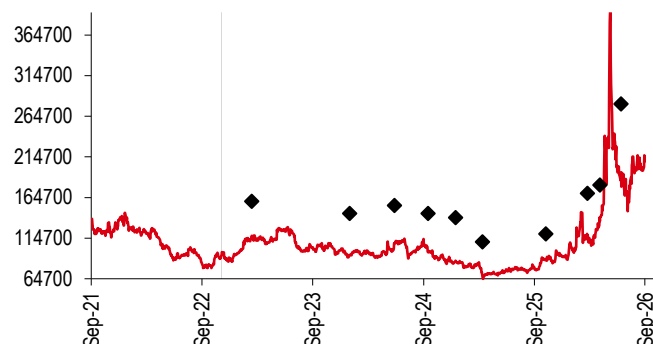
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Share price and rating changes for long-term investment opportunities
LG Electronics (066570.KS) share price performance
KRW Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	29 Nov 2022	Will Cho
Target price	Value	Date	Analyst
Price 1	160000	08 Mar 2023	Ricky Seo
Price 2	145000	25 Jan 2024	Ricky Seo
Price 3	155000	20 Jun 2024	Ricky Seo
Price 4	145000	09 Oct 2024	Ricky Seo
Price 5	140000	08 Jan 2025	Ricky Seo
Price 6	110000	07 Apr 2025	Ricky Seo
Price 7	120000	02 Nov 2025	Ricky Seo
Price 8	170000	19 Mar 2026	Ricky Seo
Price 9	180000	29 Apr 2026	Ricky Seo
Price 10	280000	07 Jul 2026	Ricky Seo

Source: HSBC

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Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
LG ELECTRONICS	066570.KS	209000.00	23 Sep 2026	7

Source: HSBC

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